Xiang Zhang

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Department of Economics
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Graduate Studies

Princeton University *2021-present*
Ph.D. Candidate in Economics
Expected Completion Date: May 2027

REFERENCES

Professor Gene Grossman
Department of Economics
Princeton University
609-258-4032
grossman@princeton.edu

Professor Eduardo Morales
Department of Economics
Princeton University
609-937-5412
ecmorale@princeton.edu

Professor Stephen Redding
Department of Economics
Stanford University
reddings@stanford.edu

Professor Richard Rogerson
Department of Economics
Princeton University
609-258-4839
rdr@princeton.edu

Prior Education

University of Chicago *2017 - 2019*
M.A. in Computational Social Science (Econ track)

Renmin University of China *2012 - 2016*
B.S. in Mathematics and Applied Mathematics

Peking University *2014 - 2016*
B.A. in Economics

Fields

International Trade, Macroeconomics, Spatial Economics, Urban Economics

Job Market Paper

Rising Concentration, Firm Specialization, and the Role of Information Technologies *(JMP)*

Abstract: I study how information technology reshapes firms' product portfolios and industry concentration. Using U.S. firm-product data from 1989 to 2019, I document rising specialization among industry leaders in tradable goods and services. The average product scope of the top 1% of firms declines by more than 40% even as their industry shares rise, and these firms increasingly concentrate employment in their core products. I develop an oligopolistic model of multiproduct firms in which firms can lower product-level marginal costs through product-specific IT investments that require an upfront fixed cost. Because the return to such investment rises with production scale, more productive producers invest more, amplifying their initial productivity advantages within product markets. A common convex firm-level investment cost links these choices across products and creates a trade-off between broader product scope and deeper technological upgrading. As IT becomes more effective, firms invest more in their core products, while competitive pressure and higher internal investment costs make peripheral products less attractive. Leading firms can therefore become larger within product markets while operating narrower portfolios, driving up product-market concentration and markups. Quantitatively, improvements in IT efficiency account for nearly one-third of the observed increase in industry concentration. Despite higher markups, these improvements raise aggregate productivity and welfare.

Working Papers

1. "The Economics of Agglomeration: Evidence from Grocery Stores" (with August Chen, Franklin Qian, and Qianyang Zhang).
   Revise and Resubmit at *Management Science*.
2. "Occupation Dynamics in General Equilibrium" (with Benny Kleinman, Ernest Liu, and Stephen Redding).
3. "Firm-to-firm relationship, uncertainty, and trade"
4. "The labor market dynamics of U.S. inventors" (with Meghana Gaur).
5. "On the role of health in climbing the income ladder: Evidence from China" (with Gordon Liu and Franklin Qian).

Work in Progress

1. "Input Specificity, Capacity Constraint, and Supply Chain Resilience"

Conferences and Seminars

2025 NBER SI Micro and Macro Perspectives of the Aggregate Labor Market
2024 UEA European Meeting

Research Experience

2022-2023	Research Assistant for Professor Stephen Redding, Princeton University
2021-2022	Research Assistant for Professors Gregor Jarosch and Ezra Oberfield, Princeton University
2019-2021	Senior Research Specialist, International Economics Section, Princeton University. Assisted with research projects for Professors Gene Grossman, Eduardo Morales, and Esteban Rossi-Hansberg

Teaching

Princeton	Macroeconomics - Fall 2026
	Introduction to Macroeconomics - Spring 2026
	Food and Agricultural Economics - Spring 2024, Spring 2025
Chicago Booth	Microeconomics - Fall 2018

Honors Awards Scholarships and Fellowships

Avinash K. Dixit Prize, International Economics Section, Princeton University *2024*
For Outstanding Achievements in International Economics

International Economics Section Summer Fellowship, Princeton University *2023 - 2025*

Real Estate Research Institute (RERI) funding *2022*

Graduate Fellowship, Princeton University *2021 - 2027*

Social Science Scholarship, The University of Chicago *2017 - 2019*

Last updated: September 2026